AUDIT & ASSURANCE

Suggested Answers
Nov-Dec 2022

Answer to the Question# 1(a):

While dealing with an audit engagement, auditors must keep one eye on the potential threat to breaching fundamental principles. Let alone others, self-interest threat is naturally inherent to all types of engagements a professional accountant usually deals with. So, while approaching to accept an engagement, particularly when audit, auditor is expected to carefully evaluate available information underlying proposed audit engagement.

In the given case, we see the bank was struggling with some issues of scandals published in the national level dailies. As a result, the management while dealing with auditors would naturally apply trick diverting auditor's attention from the points of scandal related news. When the engagement team was selecting branches to be covered as part of the overall audit methodologies, they should have collected information with regards to scandal and related branches. On the other hand, in contrary to independent selection, they depended upon the offer of the management. Seemingly, the management grabbed this opportunity and made a super lucrative offer requesting to carry out audit at New York branch which is insignificant contributor to the bank's revenue. On the other hand, the New York branch does not appear to be spotted as alleged branch in the scandal under discussion.

So, accepting this offer, the auditor has been caught in the gifts and hospitality trap where such an offer may create threats to some fundamental principle.

Answer to the Question# 1(b):

Beside self-interest threat there may be a threat to professional competence and due care being fundamental principle in circumstances where the second opinion is not based on the same set of facts that were made available to the existing accountant or is based on inadequate evidence. So, prior to accepting some actions may be considered to address potential threats including self-interest threat as follows:

- With the client's permission, obtaining information from the existing or predecessor accountant.
- Describing the limitations surrounding any opinion in communications with the client.
- Providing the existing or predecessor accountant with a copy of the opinion.

If an entity seeking a second opinion from a professional accountant will not permit the accountant to communicate with the existing or processor accountant, the accountant shall determine whether the accountant may provide the second opinion sought.

Answer to the Question# 1(c):

Stolen USB memory stick
Legal issues:

- Non-compliance with data protection regulation and Digital Security Act.
- Breach of duty of care.
- Liability for losses incurred by the client.
- Potential fines/disciplinary action for the firm by accounting body, ICAB.

Ethical and professional issues:

- Confidentiality principle breached.
- Auditor has a duty to take all reasonable steps to preserve confidentiality.
- External disclosure could damage client's interests causing loss of trust.
- Lack of professional competence and due care.
- Professional behaviour called into question.
- Damage to firm's reputation leading to loss of clients/difficulty to attract new clients.
- Damage to profession's reputation.

Safeguards:

- Data security policy implementation, communication and training.
- Encryption of data and/or password access.
- Data not removed from office.
- Data stored in a secure cloud.
- Restriction of use of USB pen drives.

- Deletion of data after use.
- Conduct training to the staff and students on using customer sensitive data
- Allow laptop 1:1 basis with adequate security features and protection.
- Stop sending email to g-mail.

Answer to the Question# 1(d):

Interchange of personnel between audit firm and client

Ethical threats:

Financial controller who was former audit manager:
Familiarity/trust threat
- predisposed to accept or insufficiently questioning of financial controller's work.

Intimidation threat
- financial controller/former audit manager previously managed junior audit team members
- could threaten or dominate audit junior team members.

Self-interest threat - reluctant to identify errors when applying for job.

Audit partner who was former finance director:

- **Self-review threat** of own financial statement work and unable to take impartial view or being inhibited from questioning judgement in own work.
- **Self-interest threat:** reluctant to identify errors in own work.
- **Familiarity/trust threat:** predisposed to accept or insufficiently questioning of work of former colleagues.

The former finance director could become an audit team member after elapsing 2 years from date of leaving AMCL.

Answer to the Question# 2(a):

The MD of the company has wrong perception about the role of auditor for the following reason:

i. the auditor is not responsible to identify fraud rather management is fully responsible to steer such controlling system within the organization so that fraud and error can be prevented;

ii. the statutory audit is performed on sample basis in compliance with ISA. For having sample risk, such transaction involving non-deduction of tds and vds may not be identified. It is the responsibility of the management team to ensure proper compliance of applicable laws including tax and vat.

Moreover, the company removed auditor without serving notice under companies act. Under ICAB bye-laws, it is a professional misconduct if an audit is accepted without ensuring the compliance of section 211 of companies act. In this case, before accepting audit, the firm should communicate with previous auditor to take professional clearance. If the auditor shows reservation, then the audit should not be accepted. On the other hand, the firm should share audit engagement letter under ISA 210 defining the role of auditor and management clearly. If audit engagement is signed or accepted by the MD only then the audit can be accepted.

Answer to the Question# 2(b):

Precondition for the audit

ISA 10 agreeing the terms of audit engagements states that auditor should only accept a new audit engagement when it has been confirmed that the preconditions for an audit are present.

To assess whether the preconditions for an audit ae present, Zubaer & Co should have determined whether the financial reporting framework to be applied in the preparation of CCC Construction Co's financial statements is acceptable.

In considering this, the auditor should have assessed the nature of the entity, the nature and purpose of the financial statements and whether law or regulation prescribes the applicable reporting framework. In addition, the firm should have obtained the agreement of CCC Construction Co's management that it acknowledges and understands its responsibility for the following:

- Preparation of the financial statements in accordance with the applicable financial reporting framework, including where relevant, their fair presentation.

- For such internal control as management determines is necessary to enable the preparation of financial statements which are free from material misstatement, whether due to fraud or error.
- To provide Zubaer & Co with access to all relevant information for the preparation of the financial statements, any additional information which the auditor may request from management and unrestricted access to personnel within CCC Construction Co from whom the auditor determines it necessary to obtain audit evidence.

Answer to the Question# 2(c):

- New financial reporting system failures could cause misstatements across the financial statements.
- Departure of finance director reduces supervision of/controls over the financial reporting process.
- Window dressing risk (due to competitive pressure).
- Going concern risk (due to the price cap and/or failure to meet quality criteria).
- Weak control environment.

Answer to the Question# 3:

Calculation of Materiality Level

Basis of Materiality	Amount	Rate	Materiality Range in Amount
Gross Asset	22,285,166,858	1%	22,851,669
Turnover	3,232,642,339	1%	32,326,422
Gross Profit	356,048,480	10%	35,604,848

Considering the following issues, the materiality level for the audit of ZZZ have been considered at moderate level i.e. Tk. 27,500,000:

i. It's a new audit client; and
ii. Business nature and internal control system of the company.

Ratio Analysis

Ration	2022	2021
Debt-Equity Ratio	10.54 times	16.30 times
Interest Coverage Ratio	1.54 times	1.20 times
Current Asset	1.90:1	1.74:1
Liquidity Ratio	0.90:1	0.74:1
Receivable Turnover	0.63 times	8.65 times
Inventory Turnover	3.48 times	5.74 times

Requirement (a):

Based on the information about the internal control system of the company, calculated materiality level and the analytical review along with ration analysis, we can assume following risk associated with the audit:

Sl. No	Topics	Assumed Risk
1.	Property, Plant & Equipment	The company newly purchased asset this year about Tk. 10 crore. The addition amount as well as the total asset as on the cut off date is material. In procuring assets the Chairman and MD of the company directly involved themselves to negotiate with the supplier as well as to determine the need of the new purchase. The risk factor is the assets may be purchased without assessing the need properly as the participation of the concern depart/executive has very limited chance to contribute in this regard. Moreover, if MD and Chairman both are both in connivance to misuse the fund of the company, they might agree to do excess purchasing with over value. Fake purchase of asset is also not impossible here. Moreover, the company does not maintain asset register in complete manner which may enhance the possibility of fake purchase of assets as well as misuse of asset. Moreover, the nature of business requires heavy investment in capital assets but the statement of financial position reflects that the company has long-term loan balance 121 crore whereas the written down value of asset is only 62 crore. If reflects poor proportion of capital asset in terms of long-term loan. Might be the company did not present the asset value correctly.

2.	Inventories	The value of the inventories as on cut off date is about 40% of the total assets of the company. The inventories are not physically confirmable as and when required by the management due to limitation. On the other hand, inventories are not recorded in software rather it maintains in excel. Here, the reliability of the inventory values mostly depends on the skill as well as honesty of the store keeper. As the inventories are not physically confirmable, management information is mostly depends on the updated and correct record of the store keeper. Moreover, the security system of the company at factory level is most important here. Actual value of the inventory or the impairment of inventory may not be reflected in the financial statements.
3.	Advance Deposit & prepayments	The outstanding balance represents material amount and the amount may include long outstanding balance of advances which may need to be write off. Moreover, as the management considers normally the advance request at factory level leniently, misuse of fund may happen.
4.	Account Receivables	By nature the company should have well control over the outstanding balance of receivables but we see the receivable turnover of the company for the current is only 0.63 times whereas the same was 8.65 times in last year. On the other hand, the receivable amount has been reduced by @ 51% in current year comparing to the last year. So the amount outstanding on current year may include long outstanding balance for any discrepancy arise with the buyer. If so the profitability of the company may be overstated due non charging of provision against receivables.
5.	Cash & Cash Equivalents	Without maintaining bank reconciliation statement the accounts either monthly or yearly cannot be closed. So non preparation of bank reconciliation may cause incorrect amount of bank balance. On absence of daily cash balance limit, may cause misuse of fund.
6.	Long-term Loan	Company's capital asset and long-term ratio is very poor which reflects either the assets are not reflecting actual value or the loan amounts are not utilized properly for business purpose. As the Group has difference organizations where the fund may be transferred which has not been disclosed in the FS.
7.	Short-term Loan	The loan amount may not be utilized for the company properly but the cost of the debt may be born by the company.
8.	Accrued and payables	The outstanding balance reflect material balance which may include long outstanding and fake payables.
9.	Bills Payable	As the company is an export oriented business and it has to import the raw materials for doing export. In the process of import, the company provides acceptance on receiving imported goods. The acceptance liability will be adjusted with the export proceed. In the FS, ratio of inventory balance & receivables balance is not rationale in terms of Bills Payable. The amount of Bills Payable may be understated.
10.	Sales Revenues	IFRS 15 might not be followed properly in all cases for which the amount of revenue may be over or under stated in the FS.
11.	Cost of goods sold	The rate of COGS in terms of sale is consistent in current year comparing to last year. But classification of cost into variable and fixed may not be done properly which have direct impact on the cost of making. On the other hand, common cost may not be allocated into fixed and variable cost without proper basis.
12.	Administrative and selling expenses	Direct cost may be classified as indirect cost which affect the actual gross profit ratio as well as the cost of making of the company. Irrational expenses may be done during the year.
13.	Finance Cost	The company is overburden with its loan on the other hand it does not have adequate amount of capital asset in the FS. On the other hand, might be the company is not in a position to utilize its capacity fully which cause insufficient sales and profit to cover interest payment. The interest coverage ration of the company is very poor i.e. 1.54 times only that was 1.20 in last year.
14.	Inter company transaction	As per FS there is no such transaction which might not be true.

15.	Related party transaction	In case of purchase of asset and utilization of loan, the company might have related party transaction which have not been reported.

Requirement (b):

Sl. No	Topics	Proposed Audit Work
1.	Property, Plant & Equipment	The audit team need to review the whole process of asset purchase including the function of concern department. The revenue plan against the investment in capital asset need to be reviewed in terms of the actual sales order. The factory should be visited by the audit team where the assets are commissioned for production. The profile of the actual supplier should be reviewed to identify related party transaction. The profile of the suppliers who submitted quotation also need to be verified. The asset ledger need to be reviewed carefully and select sample for physical verification including the assets which are not purchased current year. Repair & maintenance bills of the year need to be analyzed with last year. The trend of repair & maintenance expenses of current need also be reviewed and the asset for which frequent maintenance required need to be identified. During factory visit, any asset which has not been recorded in the FS need to be observed. If audit team satisfied with the verification result, the following issues need to be discussed in the management letter: i. Asset register need to be maintained in complete manner ii. Asset should be recorded with specific identification number and each asset has to be tagged with specific identification number.
2.	Inventories	The recording system as well as the inventory management system of the company need to be tested in detail. The recording system of inventory maintained by the head office need also be verified. The process of inventory valuation at the cut off date need to be verified and the physical inventory counting report done at the year end need to be reviewed. The accounting of impairment of inventory, if any, need to be verified. Finally inventory value need to be confirmed in terms of IAS 2. If audit team satisfied with the above, they may make following comment in the management letter: i. Company should arrange appropriate software for maintaining inventory record; ii. Possibility of unnecessary purchase
3	Advance Deposit & prepayments	The aging schedule of the outstanding balance has to be prepared and need to identify the person against whom the amount is receivable need to be identified. If major cases confirmation can be collected with the permission of the management. If any long unadjusted amount found, it may be discussed in the management letter.
4	Account Receivables	The aging schedule of the receivables has to be prepared and party wise break-up of receivables has to be prepared. If any amount found outstanding more than the LC period, the reason for non-collection need to be identified. In such cases third party confirmation may be collected from the debtors. From the above, the audit team will consider the necessity of maintaining provision against the receivables. If audit team satisfied with the result above, the long outstanding receivables may be mentioned in the management letter.
5	Cash & Cash Equivalents	The audit team will physically check the bank statement as well as the company bank book. If there is any difference between the balance of these two, reconciliation statement will be prepared to identify the reason of differences. The cash balance will be physically verified by the audit team to see the efficiency of cash handling.

6	Long-term Loan	The bank loan statement will be reviewed in terms of company's cash and bank book to identify the use of the loan amount. If any amount has been transferred to any of its related concerns, the transaction need to be disclosed in the FS. If any loan amount has transferred to any concern, the loan should not be without interest.
7	Short-term Loan	The bank loan statement will be reviewed in terms of company's cash and bank book to identify the use of the loan amount. If any amount has been transferred to any of its related concerns, the transaction need to be disclosed in the FS. If any loan amount has transferred to any concern, the loan should not be without interest.
8	Accrued and payables	Related transactions may be verified in detail on sample basis.
9	Bills Payable	Bank confirmation about the Bills Payable has to be collected. The company may give acceptance late after receiving goods against purchase order. Because of the timing gap, the inventory balance and bills payable status may not be reflected properly.
10	Sales Revenues	Audit team will check either the revenues have been recognized after making shipment of goods or not.
11	Cost of goods sold	The audit team will check the cost classification process of the company as well as the process of determining cost of making.
12	Administrative and selling expenses	The audit team will do vouching of expenses on sample basis considering performance materiality.
13	Finance Cost	The audit team will check the company's process of confirmation of finance cost. The audit team will discuss the matter in the management letter that the interest coverage ratio of the company is very poor which may cause limitation upon the company for external financing.
14	Inter company transaction	The cash book and company bank statement should be reviewed very carefully to identify such transaction. Moreover, the audit team may discuss with the company management about such transaction.
15	Related party transaction	The audit team will review the Board Meeting Minutes as well as discuss with the management to identify related party transaction. If there is such type of transactions, those should be disclosed in the FS

Requirement (c):

In current year, the company interest coverage ration reflects very poor number which is also very poor in term of last year. On the other hand, the receivable turnover ratio of the company for the current year is very poor which gives the indication of serious fund crisis for the company which may cast doubt on the going concern for the company. Moreover, the Debt-equity ration is being improved in current year comparing to the last year. On the other hand, the market for the Bangladeshi Companies are getting bigger due to the same business closing down in China. So it is expected that the sales of the company will increase in upcoming years which is the major limitation of the company.

Considering the possibility of the business it is understandable that the company will have favorable forecasted cash flow at least for immediate next year and the management has assumed correctly the going concern basis for the preparation of financial statements of the company.

Answer to the Question# 4(a):

While carrying out an audit, remaining skeptic on various aspects of financial reporting as well as related compliance requirements is mandatory. When the company under audit passes through extra ordinary challenges, the respective management may consider applying trick to reflect better performance by doing necessary engineering in the financial reporting practices. So, auditors as part of their risk assessment procedures must assess the impact of market challenges on the company.

Under the given context, we have come across number of issues affecting operating performance and financial position of the company. Hence, the audit team must be a bit more careful to avoid a risk of issuing an inappropriate audit opinion.

Item-wise points can be considered are given below:

Revenue

Revenue growth might be natural given the contractual relationship between seller and buyer. Given the nature of transaction underlying such business, the risk of misstatement is relatively low. Hence standard audit approach could be good enough.

Receivable

Receivable compared to the corresponding reported number is substantially higher in terms of both absolute figure as well as percentage to the annual revenue. Seems the realization has been much slower resulting is threats of expected credit loss. So, while auditing this item, underlying terms and potential coverage of credit loss may need to be considered. Necessity of accounting for impairment loss may also need to be considered.

Borrowing from Dubai bank

Necessary valuation of the foreign currency (USD) debts applying rules of IAS 21 needs to be carefully checked. The loss if any arising from translation is to be seen in the Statement of profit or loss and other comprehensive income.

Borrowing from local banks

Borrowing costs need to be checked. The underlying reason of borrowing needs to be considered and trailed into the stagnancy of receivable realization. Questions may be necessary as regards corresponding coverage if any available from the customer when slower realization of receivable leads to borrowing.

Answer to the Question# 4(b):

Risk Factors	Effect on audit procedures
• This is a new audit appointment. New appointment increases detection risk due to lack of cumulative/prior knowledge from previous audits	• Accounting systems and internal controls need to be ascertained. • Current period audit work should have regard to the opening balances and comparatives
• Fun Electronics Ltd. operates in the industry The nature of the industry contributes to high inherent risk due to faster technological changes and thus year end inventory provisions may be inadequate	• Evaluate inventory count instructions for procedure to identify obsolete items. • Review post year-end order book to establish adequacy of inventory provisions
• Most purchases are imported and paid for in dollars. Inherent risk is increased by exposure to exchange fluctuations.	• Any gains and losses on dollar transactions/year-end balances should be taken to the statement of profit or loss and monetary items should be translated at the year-end rate.
• Economic dependence on a principal customer. Pressure from the new customer may increase inherent risk.	• Having expanded to accommodate this customer, ensure the going concern assumption remains appropriate if the new contract is terminated.
• The company is currently renegotiating its overdraft. Deterioration of cash flows increases risk, which will be made worse if the overdraft is withdrawn.	• The auditor should review management assessment of going concern. • The effect on liquidity ratios, debtor days etc should be calculated and actions to remedy the cash flow problems discussed with directors.
• The bank may seek to place reliance on the audited accounts before negotiations are finalized. This increases risk as management have a motive to manipulate the accounts.	• Particular attention should be given to - Bank overdraft/creditor cut-off - Most likely areas of misstatement and significant areas where judgement is involved, eg, provisions - Impact of potential audit adjustments on key ratios • If a satisfactory outcome to the negotiations is not reached before the audit completed, a qualification is likely
• The software company being used has only recently commenced trading. Inherent risk may be increased by the inexperience of the software company.	• The level of audit testing of the new system is likely to be higher than for an accounting package with a good track record.
• There is potential risk that data transfer was inaccurate or incomplete.	• The lack of proper accounting records may need referring to the audit report.

If any significant problems with the changeover are encountered then, in the absence of a parallel run, proper accounting records may not have been kept.	
• There is a backlog of data input. Human error is more likely if overtime working is excessive, therefore inherent risk is increased.	• Cut-off should be carefully reviewed as errors are more likely if data processing is not up-to-date at the year end.
• The introduction of the incentive scheme may cause management to overstate the profit.	• Extended checks and/or increased sample sizes to look for potential understatement of liabilities and expenses and overstatement of assets and income.

Answer to the Question# 4(c):

Auditors need to assess the risk of management override during the planning stage of the audit, and to design appropriate audit procedures in response. The procedures should include:

- Testing journal entries to ensure they are appropriate
- Review of accounting estimates to judge whether management bias has been applied
- Scrutinizing significant and unusual transactions

While testing journal entries underlying above indicators, we may pay special attention to the journals

- processed for round amounts,
- made close to the year-end
- processed by persons who usually do not deal with journal entries
- posted at unusual hours
- posted to unusual accounts etc.

Answer to the Question# 4(d):

Audit procedure in response to the risks relating to revenue recognition may include:

- Analytical procedures including month by month comparisons
- Customer confirmation
- Review sales near the end of the accounting period and any unusual terms and conditions
- Observed goods being dispatched
- Sales and revenue cut-off procedures
- Test of controls over electronic revenue transactions

Answer to the Question# 5(a):

Comments on the quality of the audit performed by JB Partners include the following:

a. Materiality ISA 320 requires the auditor to apply the concept of materiality when planning an audit. Auditors must consider materiality at the planning stage of the audit because it helps them to determine which items to test which is a good control in determining sample size. As the audit progresses, ISA 320 requires the auditor to review the materiality of Tk.340 million set at the planning stage and should not use throughout the audit. For example, the building cost of Tk.410 million was recognised as Tk.420m resulting in a difference of Tk. 10m. The auditor may regard this as not material and not carry out test to confirm the difference. There is the possibility of low audit quality if the auditor fails to carry out test on the carrying amount of Tk. 420m as of June 30, 2021. The same principle is applied to inventory counts. The fact that proper counting was not carried out by management staff indicates the possibility of material misstatement in the inventory balance as at the end of June 2021. Materiality at the final stage of the audit helps the auditor in determining the reasonableness of the audit carried out and at what level the audit report will be modified. Therefore, failure to review materiality as the audit progresses may result to very

low audit quality and this may also result to high audit risk. If the auditor had used a lower materiality level than the Tk. 340m set, the auditor will be able to carry out many tests on inventory, thereby reducing the risk of detection and invariably overall audit risk.

b. Building The building acquired during the year should be categorised as non-current asset and as such the following detail substantive tests need to be carried out by the firm to confirm financial statements assertion as relate to cost, authorisation, valuation, existence, beneficial ownership and its presentation in the statement of financial position. Absence of evidence of all these assertion in the current audit working papers of the firm would be regarded as poor audit work on verification of building. Taking the above listed financial statement assertions one after the other, the audit firm should confirm the following:

- **Cost-** The building was acquired during the year. Relevant documents such as sales invoice and original receipt obtained from the vendor should be sighted by the firm and a copy should be kept in the current audit working papers file.
- **Authorisation-** Evidence of the authority to purchase the building by the company should be obtained and reviewed in the minutes of meetings of the board of directors. Also, the payment voucher in respect of this newly acquired building should also be reviewed and a copy should be kept in the audit file.
- **Valuation-** The initial cost of the building was Tk. 410m but was recognised in the draft statement of financial position at a carrying amount of Tk. 420m. The reason for this may be that the building must have been revalued and based on this; the audit firm should have ascertained the following:
    - Whether or not the valuation was carried out by the company or by an external valuer.
    - If the valuation was carried out by the company, the firm should have ascertained the basis of valuation; and If the valuation was carried out by an external valuer, the firm should ascertain the reputation, experience and independence of the external valuer.
- **Existence-** The audit team did not carry out physical confirmation of where the building is located. They only relied on sales agreement and confirmation in writing from the Factory Manager in respect of the building. To confirm the existence of this building, physical confirmation needs to be carried out.
- **Beneficial ownership-** the audit firm needs to confirm whether or not the acquired building is being used for the purpose and benefits of the company. This can be done by checking relevant documents relating to its usage, such as checking expenses in respect of repairs and maintenance of the building.
- **Presentation-** The statement of the financial position should be reviewed to confirm whether or not the building has been properly classified and presented in accordance with relevant accounting standard.

Comments It is obvious from the review of the current audit working papers file that all the above assertions were not carried out and as such, the quality of the audit was very poor.

C. Inventory- Inventory of Tk. 580 million was recognised in the draft statement of financial position. This amount is a material figure and since the audit team has indicated that the count of some items by the company's staff was not correctly done, there is need for the firm to do the following:

- Order a recount of the inventory items while representative of the audit firm will be in attendance to observe the procedures;
- The valuation method used should be confirmed whether or not it is in line with relevant accounting standard;
- The condition and obsoleteness of the inventory items should be considered;
- The cut-off procedures in relation to the inventory should be reviewed;
- Relevant documents such as purchase invoices and receipts should be checked so as to confirm the ownership of the inventory; and
- The firm should review the available internal control put in place by the management of the company on the existence and movement of the inventory.

Comments The firm needs to do more audit work as per the above procedures in relation to inventory.

Review by the engagement partner and audit manager

As discussed above, before the audit report is issued, the engagement partner needs to be satisfied that sufficient appropriate audit evidence has been obtained to support the conclusions reached and for the audit report to be issued, he should therefore:

- Review the audit documentation; and

- Hold discussion with the audit team. This process is usually referred to as the partner's review. It should be scheduled into the audit plan towards the completion of the audit.

Before the partner's review, the audit senior should ensure that every file is complete and cross-referenced to cut down the number of points that might be raised by the partner' review. The partner's review will usually be preceded by a manager's review, in the hope that the audit manager will identify some matters that can be resolved before they come to the attention of the engagement partner, but in electronic environment, it is possible to do it concurrently.

Quality control issues include:

i. Poor or inadequate planning of the audit, such as failure to identify the key audit risks;
ii. Giving complex audit work to relatively inexperienced member of the audit team;
iii. Inadequate supervision; and
iv. Inadequate review of the audit working papers by the audit manager.

Answer to the Question# 5(b) (i):

The auditor shall modify the opinion when:

1. The auditor concludes that the financial statements as a whole are not free from material misstatement eg where there is disagreement with management about
   - Accounting policies,
   - Accounting treatment, or
   - Disclosure in the financial statements

   In these circumstances there are two possible outcomes:

   (i) The resulting misstatements are material, but not pervasive, to the financial statements- this will result in a qualified opinion typically using the wording ('except for').
   (ii) The resulting misstatements are both material and pervasive to the financial statements such that the auditor concludes that the accounts do not give true and fair view- would result in an 'adverse opinion'.

2. The auditor is unable to obtain sufficient appropriate audit evidence to conclude that the financial statements as a whole are free from material misstatement eg limitation on the scope of the audit.

   In these circumstances there are two possible outcomes:
   (i) The possible effects of undetected misstatements, if any, could be material but not pervasive- this will result in a qualified opinion ('except for').
   (ii) The possible effects of undetected misstatements on the financial statements could be both material and pervasive, so serious that the auditor is unable to form an opinion on the financial statements- would result in a 'disclaimer opinion'.

Answer to the Question# 5(b) (ii):

The auditor should add an 'emphasis of matter' to the auditor's report where the auditor considers it necessary to draw users' attention to a matter or matters presented or disclosed in the financial statements that are of such importance that they are fundamental to users' understanding of the financial statements.

While preferring such an option the audit report, it would be important on the part of the auditor to indicate in his report that this paragraph does not carry any sense of qualification. In essence a report carrying an emphasis of paragraph should not be read as qualified opinion.

Answer to the Question# 5(c):

Extracts of the audit report as required

Qualified Opinion

We have audited the financial statements of Fair Cement Ltd (the company), which comprise the statement of financial position as at 31 December 2019 and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial positions, including a summary of significant accounting policies.

In our opinion, except for the effects of the matter described in the Basis for Qualified Opinion section in our report, the accompanying financial statements present fairly in all material respect the financial position of the company as at 31 December 2019 and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards.

Basis for Qualified Opinion

Included in the accounts receivable shown in the statement of financial position is an amount of BDT….. due from a customer who vehemently disagrees to pay the dues and the company has filed a law suit. Given the damage the customer has suffered, in our opinion there is very little chance of having favourable verdict from the legal suit, thereby the chance of collection is least. Accordingly, full provision should have been made and the reported accounts receivable reduced and necessary adjustment made in other accounting heads.

We conducted our audit in accordance with International Standards on Auditing. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

---The End---